



BIRLA INSTITUTE OF TECHNOLOGY AND SCIENCE, Pilani
Pilani Campus
AUGS/ AGSR Division

FIRST SEMESTER 2026-27
COURSE HANDOUT

Date: 03.08.2026

In addition to part I (General Handout for all courses appended to the Time table) this portion gives further specific details regarding the course.

Course No	: MPBA G501
Course Title	: Managerial Economics
Instructor-in-Charge	: Leela Rani
Instructor(s)	: None

1. Course Description:

The course provides to the students:

1. An insight into the scientific & analytical methods, techniques and tools of economics
2. A precise and comprehensive coverage of fundamental concepts in economics
3. Suitable real world applications & examples to expose him/her to possibilities of implementing concepts in business and economic practices and policies
4. Approach to integrate different aspects of a firm's economic decisions within the firm's framework as well as find & understand connections with the macroeconomic environment

2. Scope and Objective of the Course:

This course aims at providing an overview of comprehensive coverage of fundamental concepts, analytical tools understanding economics of business decision making for a profitable and sustainable status in dynamic business environment. While the primary unit of analysis is firm, the coverage of this course would enable finding & understanding connections of firms' decisions with its industry and the macroeconomic environment at large.

3. Text Book:

Managerial Economics, 8ed, (An Indian Adaptation) Analysis, Problems, Cases. Paperback – 1 January 2022. By Lila J. Truett, Dale B. Truett, adapted by Leela Rani. Wiley publication **{Kindle available}**



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Additional class notes will be provided as required.

4. Reference Books:

- R1. Managerial Economics 6Ed. (English) 6th edition, Dominick Salvatore, Ravikesh Srivastava
R2. Hirschey, “Economics for Managers”, Thompson, New Delhi, 2006.

5. Course Plan:

Module	Lecture Session	Ref.	Learning outcomes
PART- I The firm and it's environment			
1	Introduction to basic principles & methodology	Chap 1	Introduction to the nature and scope of managerial economics, economic goals of firms. Know optimal decision-making, principles of decisions, why firms operate and sustainability aspects for firms.
2	Revenue of the firm	Chap 2	Basics of demand and supply, market equilibrium, firm's demand, circular flow of the economy, elasticity of demand and its applications, utility & consumer choice
3	Demand analysis & estimation	Chap 3	Demand analysis and estimation, survey method, regression method and experimental method, basics of linear regression and its applications for demand estimation
4	Economic forecasting	Chap 4	Need for forecasting, qualitative forecasting & techniques of forecasting - time series analysis, smoothening techniques, exponential smoothening techniques, Barometric methods, econometric models
Part two: Production, cost and profit maximization			
5	Production analysis	Chap 5	Production function, it's organization & estimation, production Function with single input & with two inputs; least cost combination of inputs and related concepts, effect of change in input prices, returns to scale, empirical production functions, short run and long run production functions
6	Cost of production	Chap 6	Nature & types of costs, short run & long run cost functions, plant size & economies of scale 7 scope, learning effect, choosing optimal plant size, estimation of cost, understanding international cost considerations



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7	Profit analysis of the firm	Chap 7+ notes	Profit maximization, shot down point, break even analysis, incremental profit analysis, sustainability & profits
Part three: Markets and behavior of the firm			
8	Perfect competition & Monopoly	Chap 8	Perfect Competition (PC): basics, assumptions & pricing, short run analysis of PC firm, long run analysis of PC firm. Monopoly, its setting & sources, short run & long run price and output determination, comparing PC & monopoly
9	Monopolistic competition & oligopoly	Chap 9	Monopolistic competition: basics and settings, short run & long run price and output determination, product variation & selling expenses. Oligopoly: meaning and sources, duopoly: Cournot's Model, Bertrand's model, kinked demand curve & cartels, profitability & efficiency for oligopoly firms
10	Games, information and strategy	Chap 10	Games & their strategic importance, dominant strategy & Nash equilibrium, prisoner's dilemma, price and non-price competition, repeated games & strategic moves
11	Topics in pricing & profit analysis	Chap 11	Pricing of multiple products, price discrimination, transfer pricing. Two-part pricing
Articles, case studies and exercises will be incorporated from time to time with advance announcements on Nalanda for learning and evaluation.			

6. Evaluation Scheme:

Component	Duration	Weightage (%)	Date & Time	Nature : CB/OB
Mid semester test	2 hrs.	25%	10/10/25	Closed book
Case studies (2/3)	50 min.	10%	TBA	Open book
Excel based ex. (1)	50 min	5%	TBA	Open book
Announced Quiz	30 min	7%	TBA	Closed book
Project: poster & viva	Take home	8% (1+4+3)	TBA	Open book; Viva – CB
Comprehensive Exam.	3 h	35%	16/12/25	Partly Closed book



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7. Chamber Consultation Hour: Day time (TBA) - Department of Management (by appointment)/Google meeting link (see below):
meet.google.com/jgy-ogtw-ygt

8. Notices: All notices will be put on Nalanda

9. Make-up Policy: Only in case of **self-medical urgency** (with prior permission)

10. Note (if any): Students must keep themselves updated with current affairs

Instructor-in-charge